

Chapter 7. Portfolio Policy for the Enterprising Investor:

The Positive Side

1. See, for example, Lucile Tomlinson, and Sidney Cottle and W. T. Whitman, both published in 1953.

2. A company with an ordinary record cannot, without confusing the term, be called a growth company or a “growth stock” merely because its proponent expects it to do better than the average in the future. It is just a “promising company.” Graham is making a subtle but important point: If the definition of a growth stock is a company that will thrive in the future, then that’s not a definition at all, but wishful thinking. It’s like calling a sports team “the champions” before the season is over. This wishful thinking persists today; among mutual funds, “growth” portfolios describe their holdings as companies with “above-average growth potential” or “favorable prospects for earnings growth.” A better definition might be companies whose net earnings per share have increased by an annual average of at least 15% for at least five years running. (Meeting this definition in the past does not ensure that a company will meet it in the future.)

3. See Table 7-1.

4. Here are two age-old Wall Street proverbs that counsel such sales: “No tree grows to Heaven” and “A bull may make money, a bear may make money, but a hog never makes money.”

5. Two studies are available. The first, made by H. G. Schneider, one of our students, covers the years 1917–1950 and was published in June 1951 in the *Journal of Applied Corporate Finance*. The second was made by Drexel Firestone, members of the New York Stock Exchange, and covers the years 1933–1969. The data are given here by their kind permission.

6. See pp. 393–395, for three examples of special situations existing in 1971.